

Exhibit “B”

OPERATING AGREEMENT

OF

WOODLAND MEADOWS MHC LLC

Effective Date: May 13, 2026

THE MEMBERSHIP INTERESTS IN THE COMPANY GOVERNED BY THIS OPERATING AGREEMENT HAVE BEEN ACQUIRED FOR INVESTMENT AND HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933 OR THE SECURITIES LAWS OF ANY STATE. WITHOUT SUCH REGISTRATION, THESE SECURITIES MAY NOT BE SOLD OR OTHERWISE TRANSFERRED, EXCEPT UPON DELIVERY TO THE COMPANY OF AN OPINION OF COUNSEL SATISFACTORY TO THE COMPANY THAT REGISTRATION IS NOT REQUIRED FOR TRANSFER, AND THAT THE TRANSFER IS NOT IN VIOLATION OF THE SECURITIES ACT OF 1933 OR ANY APPLICABLE STATE SECURITIES LAWS. THE SALE OR OTHER TRANSFER OF SUCH MEMBERSHIP INTERESTS IS ALSO SUBJECT TO THE RESTRICTIONS SET FORTH IN ARTICLE IX OF THIS OPERATING AGREEMENT.

OPERATING AGREEMENT
OF
WOODLAND MEADOWS MHC LLC

This OPERATING AGREEMENT is hereby adopted as the limited liability company Operating Agreement of WOODLAND MEADOWS MHC LLC, a Colorado limited liability company, and is hereby executed, ratified, confirmed and approved for good and valuable consideration by its Members to be effective as of May 13, 2026.

ARTICLE I

DEFINITIONS

Section I.1. Terms Defined. When used in this Agreement, the following terms shall have the meanings set forth below:

“Act” shall mean the Colorado Limited Liability Company Act (C.R.S. Title 7, Article 80) as amended and updated.

“Additional Units” shall have the meaning given such term in Section 3.2(c)(i).

“Adjusted Capital Account Deficit” means, with respect to any Member, the deficit balance, if any, in such Member’s Capital Account as of the end of the relevant fiscal year or other period, after giving effect to the following adjustments: (a) any amounts that such Member is, or is deemed to be, obligated to restore pursuant to Section 1.704-1(b)(2)(ii)(c) of the Treasury Regulations, the penultimate sentence of Section 1.704-2(g)(1) of the Treasury Regulations, or the penultimate sentence of Section 1.704-2(i)(5) of the Treasury Regulations, shall be credited to such Capital Account; and (b) the items described in Sections 1.704-1(b)(2)(ii)(d)(4), (5), and (6) of the Treasury Regulations shall be debited to such Capital Account. For these purposes, no Member who has an unconditional obligation to restore any deficit balance in his Capital Account in accordance with the requirements of Section 1.704-1(b)(2)(ii)(b)(3) of the Treasury Regulations shall have an Adjusted Credit Account Deficit. The foregoing definition of Adjusted Capital Account Deficit is intended to comply with the provisions of Section 1.704-1(b)(2)(ii)(d) of the Treasury Regulations and shall be interpreted consistently therewith.

“Affiliate” shall mean a Person (i) which is directly or indirectly, through one or more intermediaries, controlling, controlled by, or under common control with the Person in question, or (ii) in which the Person in question is a manager, officer, director or has a financial interest. The term “control,” as used in the immediately preceding sentence, means, with respect to an entity that is a corporation, the right to exercise, directly or indirectly, more than fifty percent (50%) of the voting rights attributable to the shares of such corporation and, with respect to a Person that is not a corporation, the possession, directly or indirectly, of the power to direct or cause the direction of the management or policies of such Person.

“Agreement” means this Operating Agreement, including Schedule “A”, as originally executed and as subsequently amended from time to time.

“Articles” shall mean the Articles of Organization filed on behalf of the Company with the Secretary of State of the State of Colorado in accordance with all applicable statutes.

“Asset Management Fee” shall have the meaning set forth in Section 4.12(a).

“Bona Fide Offer” shall have the meaning set forth in Section 9.4(a).

“Business Day” means any day on which banks are open for business in New York, New York, other than weekend days.

“Capital Account” shall have the meaning set forth in Section 3.4.

“Capital Contribution” shall mean cash and the fair market value of any property other than cash (net of liabilities the Company assumes or to which the property is subject) that is contributed to the capital of the Company by the Members, as set forth in the Member’s Subscription Agreement.

“Cash Flow” shall mean, for the period in question, the amount by which (a) the aggregate cash receipts of the Company from any source (including loans) exceed the (b) sum of (i) the cash expenditures of the Company plus (ii) a cash reserve in the amount determined by the Managers to be sufficient to meet the working capital requirements of the Company, including current operating expenses, debt payment, capital improvements, and replacements, and (iii) estimated reserves for contingent liabilities, expenses and costs.

“Class A Member” shall mean a Member of the Company holding Class A Units, designated as such on the signature page of the Member’s Subscription Agreement.

“Class A Preferred Return” shall mean an amount equal to Seven Percent (7%) per annum, based on 365 or 366 days, as the case may be, for the actual number of days in the period for which the Class A Preferred Return is being determined, cumulative but not compounded, of the average daily balance of the Unreturned Capital Contributions of the Class A Members from time to time following the date that each Class A Member purchases one or more Class A Units.

“Class A Unit” shall mean a Unit of the Company’s Membership Interests held by a Class A Member having the rights and preferences as set forth herein.

“Class B Member” shall mean a Member of the Company holding Class B Units, designated as such on the signature page of this Agreement and on Schedule “A”, as may be amended from time after the Effective Date.

“Class B-1 Member” shall mean a Member of the Company holding Class B-1 Units, designated as such on the signature page of this Agreement and on Schedule “A”, as may be amended from time after the Effective Date.

“Class B-2 Member” shall mean a Member of the Company holding Class B-2 Units, designated as such on the signature page of this Agreement and on Schedule “A”, as may be amended from time after the Effective Date.

“Class B Unit” shall mean a Unit of the Company’s Membership Interests held by a Class B-1 Member and/or a Class B-2 Member and having the rights and preferences as set forth herein and designated as such on Schedule “A”.

“Class B-1 Unit” shall mean a Unit of the Company’s Membership Interests held by a Class B-1 Member having the rights and preferences as set forth herein and designated as such on Schedule “A”.

“Class B-2 Unit” shall mean a Unit of the Company’s Membership Interests held by a Class B-2 Member having the rights and preferences as set forth herein and designated as such on Schedule “A”.

“Code” shall mean the Internal Revenue Code of 1986, as amended.

“Company” shall mean Woodland Meadows MHC LLC, a Colorado limited liability company created pursuant to the Articles and governed by this Agreement.

“Effective Date” means the date first set forth above.

“Electing Member” shall have the meaning in Section 3.2(c).

“Fair Market Value” shall have the meaning set forth in Section 9.5(c).

“Final Closing” shall have the meaning set forth in Section 3.2(b).

“Fiscal Quarter” means any one (1) of the four (4) three-month periods ending on March 31, June 30, September 30, and December 31 of each calendar year, that constitute the Company’s Fiscal Year.

“Fiscal Year” means the period commencing on January 1 of each year and ending on December 31 of such year.

“Governmental Authority” means any federal, state, local or foreign government or political subdivision thereof, or any agency or instrumentality of such government or political subdivision, or any self-regulated organization or other non-governmental regulatory authority or quasi-governmental authority (to the extent that the rules, regulations or orders of such organization or authority have the force of law), or any arbitrator, court or tribunal of competent jurisdiction.

“Initial Closing” shall have the meaning given such term in Section 3.2(b).

“Internal Rate of Return” or “IRR” means a cumulative internal rate of return, compounded annually and calculated at the designated annual discount rate, which, when applied to any amount, and discounted annually, produces a net present value of such amount equal to zero. Internal rate of return shall be calculated by using the Microsoft Excel method of calculating internal rate of return, using the XIRR function (or if such program is no longer available, such other reputable software program for calculating internal rate of return as determined by the Managers).

“Liquidating Event” shall mean the sale, merger, condemnation or exchange of all or substantially all of the assets of the Company, or other transaction which, individually or together with any similar transaction or transactions, results in the disposition of all or substantially all of the assets of the Company and occurs in the course of liquidation of the Company or upon and with respect to which event the Company is wound up and all payments, including payments on any promissory notes, have been received.

“Liquidator” shall be the Person specified in Section 11.2.

“Majority of the Managers” shall mean (i) in determining whether a quorum exists at a meeting of the Managers, a majority in number of all of the Managers, and (ii) at a properly called meeting at which a quorum of Managers is present, a majority in number of the Managers present at such meeting.

“Majority in Membership Interests” shall mean Members owning more than one half (1/2), or fifty percent (50%), of the Membership Interests of a specific class.

“Managers” initially shall mean such Persons as may be appointed to the position of a member of the Board of Managers of the Company in accordance with the provisions of this Agreement.

“Member” shall mean Members, any transferees of Membership Interests, and any new Members admitted to the Company pursuant to Article IX.

“Membership Interest” shall mean a Member’s interest set forth opposite such Member’s name on Schedule “A” attached hereto, in the income, gains, losses, deductions, tax credits, voting rights and distributions of the Company, in each case as may be affected by the provisions of this Agreement. Membership Interests of the Company shall be denominated in Units, and shall be divided into Class A Units and Class B Units.

“Non-Selling Members” shall have the meaning set forth in Sections 9.4(b) and 9.5(b).

“Non-Selling Member Units” shall have the meaning set forth in Section 9.4(c).

“Notification” means a writing containing any information required by this Agreement to be communicated to any Person, which may be personally delivered, sent by registered or certified mail, postage prepaid, or sent by email transmission, to such Person, at the last known address of such Person on the Company records. Any such Notification shall be deemed to be given (i) when delivered, in the case of personal delivery, (ii) five (5) Business Days following the date on which it is deposited in a regularly maintained receptacle for the deposit of United States mail, addressed and sent as aforesaid, in the case of mail, and (iii) three (3) Business Days after confirmed receipt by the addressee, in the case of email transmission. Any communication containing information sent to any Person other than as required by the foregoing sentences, but which is actually received by such Person, shall constitute Notification as of the date of such receipt for all purposes of this Agreement.

“Offering Memorandum” means that Confidential Private Placement Memorandum to which this Agreement is attached as an exhibit.

“Officer” shall mean an individual appointed by the Managers pursuant to Section 4.11(a) to be an officer of the Company.

“Operations” shall mean all activities arising in the ordinary course of the Company’s business not constituting a Liquidating Event.

“Participating Members” shall have the meaning set forth in Section 9.5(b).

“Permitted Transfers” shall have the meaning set forth in Section 9.2.

“Permitted Transferee” shall mean a person to whom a Membership Interest was transferred under a Permitted Transfer.

“Person” shall mean an individual, partnership, joint venture, corporation, trust, limited liability company, estate or other legal entity or organization.

“Proceeding” shall have the meaning set forth in Section 6.2(d).

“Property” shall mean that certain manufactured home community located in Canon City, Colorado and commonly known as “Woodland Meadows Manufactured Home Community” having a physical address of 1431 Walnut Street, Canon City, Colorado 81212, and described more specifically in the Offering Memorandum.

“Purchase Event” shall have the meaning set forth in Section 9.5(a), including those Transfers identified as Purchase Events in subsections (b) through (g) of the definition of Transfer below.

“Purchase Price” shall have the meaning set forth in Section 9.5(b).

“Purchase Price Payment” shall have the meaning set forth in Section 9.5(b).

“ROFR Notice” shall have the meaning set forth in Section 9.4(a).

“ROFR Period” shall have the meaning set forth in Section 9.4(c).

“Section” shall mean any section or subsection in this Agreement.

“Selling Member” shall have the meaning set forth in Sections 9.4(a) and 9.5(b).

“Subscription Agreement” shall mean that certain agreement entered into by and between the Company and each person subscribing for Class A Units attached to the Offering Memorandum as an exhibit.

“Transfer” shall mean any change in the record ownership of a Membership Interest, whether made voluntarily or involuntarily by operation of law, including, but not limited to, the following:

- (a) A sale or gift to any Person other than a Permitted Transfer;
- (b) A general assignment for the benefit of creditors, or any assignment to a creditor resulting from the creditor’s foreclosure upon or execution against such Membership Interest (which shall be a Purchase Event);
- (c) The filing by the transferor Member of a voluntary bankruptcy petition (which shall be a Purchase Event); or
- (d) The entry of a judicial order granting the relief requested by the petitioner in an involuntary bankruptcy proceeding filed against the transferor Member (which shall be a Purchase Event).

“Unit” means a unit-denominated Membership Interest representing a fractional part of the Membership Interests of all of the Members, and shall include all types and classes of Units, including the Class A Units and the Class B Units; *provided, that* any type or class or sub-class of Units shall have the privileges, preference, duties, liabilities, obligations and rights set forth in this Agreement.

“Unreturned Capital Contribution” shall mean with respect to any Class A Member, the sum of all Capital Contributions made by such Member reduced by all distributions to such Member pursuant to Section 7.2 and Section 7.4.

Section I.2. Number and Gender. Whenever the context requires, references in this Agreement to the singular number shall include the plural, and the plural number shall include the singular, and words denoting gender shall include the masculine, feminine and neuter.

ARTICLE II

GENERAL

Section II.1. Name. The business of the Company shall be conducted under the name “Woodland Meadows MHC LLC.”

Section II.2. Registered Office; Registered Agent. The registered office and registered agent of the Company in the State of Colorado shall be as specified in the Articles or as designated by the Manager in the manner provided by applicable law. The offices of the Company shall be at such places as the Manager may designate, which need not be in the State of Colorado.

Section II.3. Term. The Company shall continue until dissolved pursuant to Section 11.1.

Section II.4. No State-Law Partnership. No provisions of this Agreement shall be deemed or construed to constitute the Company as a partnership or joint venture, or any Member or Manager as a partner or joint venturer of any other Member or Manager, for any purposes other than federal and state tax purposes.

Section II.5. Purpose of the Company. The purposes of the Company are to purchase, own, manage, hold for investment, sell, and refinance the Property and to engage in any other lawful activities which are related or incidental to the foregoing purposes. The Company shall have all the powers necessary or convenient to affect any purpose for which it is formed, including all powers granted by the Act.

ARTICLE III

CAPITAL CONTRIBUTIONS; LOANS; MEMBERSHIP INTERESTS

Section III.1. Capital Contributions. The Class A Members shall make initial Capital Contributions to the Company in the amounts set forth in each Member's Subscription Agreement. The Class B Members have made Capital Contributions to the Company as set forth in the Company's books and records.

Section III.2. Members; Membership Interests.

(a) Schedule "A" attached hereto shall identify the Class A Members and the number and class of Units held by each collectively as a group, and shall identify the Class B Members and the Class B Units held by each by name.

(b) The Company authorizes the sale and issuance of a total of One Million Ninety-Five Thousand (1,095,000) of its Membership Interests which shall be denominated as "Units". The Units shall be sold and issued in two (2) classes: Class A Units and Class B Units, and the Class B Units shall be further divided into two (2) subclasses: the Class B-1 Units and the Class B-2 Units. There are Nine Hundred Seventy-Five Thousand (975,000) Class A Units authorized for sale hereby at a purchase price of One Dollar (\$1.00) per Class A Unit, none of which have been sold as of the date hereof; and One Hundred Thousand (100,000) Class B-1 Units authorized for sale hereby, all of which have been sold and issued to the Company's Class B-1 Members; and Twenty Thousand (20,000) Class B-2 Units authorized for sale hereby, all of which have been sold and issued to the Company's Class B-2 Members. The Company's Class A Units shall be sold and issued pursuant to Subscription Agreements completed by the Members following each Member's payment of the purchase price for the Units subscribed, and the Managers' acceptance of the Member's subscription for an investment in the Class A Units. Unless otherwise approved by the Manager, the minimum that may be accepted from any purchaser of Class A Units is Fifty Thousand Dollars (\$50,000) for Fifty Thousand (50,000) Class A Units. The initial closing of the Company's sale and issuance of its Class A Units (the "Initial Closing") shall occur upon the Company's receipt, in exchange for its sale and issuance of Class A Units, of at least an amount as is necessary to finance the Company's acquisition of the Property and planned capital costs in accordance with the disclosure included in the Offering Memorandum and as determined by the Manager in its discretion. Following the Initial Closing, the Company may sell and issue additional Class A Units in one or more additional closings in its discretion.

(c) The Company may sell and issue additional Membership Interests (in addition to those authorized under Section 3.2(b)), and admit additional Members of the Company, in the manner described as follows:

(i) In the event that the Manager shall have authorized the offering for sale and issuance of additional Membership Interests (the “Additional Units”) and the admission of one or more additional Members, such sale only may be made, and the admission of the additional Member(s) shall become effective only in accordance with the provisions of this Section 3.2(c).

(ii) Upon the Manager’s authorization of Additional Units, the Company shall provide notice to each Member setting forth the material terms and conditions of the Additional Units, and thereafter, each Class A Member shall have the right to purchase that percentage of the Additional Units equal to the number of Units held by such Member divided by the total number of Class A Units held by all Class A Members. Each Member shall notify the Company whether the Member will exercise the pre-emptive right set forth herein with respect to the Additional Units within ten (10) days following the Company’s notice. Any Additional Units not so purchased (the “Shortfall Units”) shall be reallocated among the Members (each, an “Electing Member”) exercising their right to purchase the number of Additional Units such Member is entitled to purchase. In such event, the percentage of the Shortfall Units that each Electing Member is entitled to purchase is the percentage determined by dividing the number of Units held by each Electing Member by the total number of Units held by all of the Electing Members. In the event that any Electing Member subsequently elects not to purchase the number of Shortfall Units pursuant to the foregoing formula, such Electing Member shall be excluded from participating in the purchase of the Shortfall Units, and the Shortfall Units that such Electing Member shall have been entitled to purchase shall be reallocated among the Electing Members electing to purchase their maximum number of Shortfall Units pursuant to the formula described in the preceding sentence. In the event that the Members determine that they do not wish to purchase all of the Additional Units being offered, the Company may sell and issue all remaining Shortfall Units to a third party on the same terms set forth in the notice.

(iii) Prior to the admission of any additional Member to the Company, the proposed additional Member shall execute this Agreement as a Member and shall agree to be bound by the terms and conditions hereof. Further, the proposed additional Member shall agree to execute such additional documents and instruments as the Company may reasonably request (including, without limitation, amendments to the Articles) as may be necessary or appropriate to confirm such proposed additional Member as a Member in the Company. Upon the admission of an additional Member as a Member of the Company, Schedule “A” of this Agreement shall be amended to reflect the admission of the additional Member and the respective Membership Interests of all of the Members.

(iv) Any new Member shall pay or reimburse the Company for all reasonable legal, filing, and publication costs that the Company may incur in connection with the admission of the new Member as a Member of the Company.

Section III.3. Additional Capital Contributions. Except as provided in Article VII, no Member shall have any obligation to make any additional Capital Contributions to the Company.

Section III.4. Capital Accounts. The Company shall establish and maintain a capital account (“Capital Account”) for each Member in accordance with Section 704(b) of the Code and Treasury

Regulations Section 1.704-1(b)(2)(iv). Except as otherwise provided in this Agreement, the Capital Account balance of each Member shall be credited (increased) by (i) the amount of cash contributed by such Member to the capital of the Company, (ii) the fair market value of property contributed by such Member to the capital of the Company (net of liabilities secured by such property that the Company assumes or takes subject to under Code Section 752), and (iii) such Member's allocable share of Company income and gain (or items thereof) including income and gain exempt from federal taxation and income and gain attributable to adjustments to reflect book value pursuant to Treasury Regulations Section 1.704-1(b)(2)(iv)(g), but excluding income and gain attributable to tax items which differ as a result of the revaluation of Company property as described in Treasury Regulations Section 1.704-1(b)(4), and the Capital Account balance of each Member shall be debited (decreased) by (i) the amount of cash distributed to such Member, (ii) the fair market value of property distributed to such Member (net of liabilities secured by such property which the Member assumes or takes subject to under Code Section 752), (iii) such Member's allocable share of expenditures of the Company described in Code Section 705(a)(2)(B), and (iv) such Member's allocable share of Company losses, depreciation and other deductions (or items thereof) including loss and deduction attributable to adjustments to reflect book value pursuant to Treasury Regulations Section 1.704-1(b)(2)(iv)(g) but excluding expenditures described in (iii) above and loss or deduction attributable to tax items which differ as a result of the revaluation of Company property or excess percentage depletion as described in Treasury Regulations Section 1.704-1(b)(4)(i) and (ii). Notwithstanding the foregoing, a Member's Capital Account shall not be adjusted to reflect gain or loss attributable to the disposition of property contributed by such Member to the extent such Member's Capital Account reflected such inherent gain or loss in the property on the date of its contribution to the Company.

Section III.5. Member Loans. A Member, or an Affiliate of a Member, may, but is not obligated to, loan or cause to be loaned to the Company such additional sums as the Managers deem appropriate or necessary for the conduct of the business of the Company. Loans made by a Member or an Affiliate of a Member, shall be upon such terms and for such maturities as the Managers shall deem reasonable in view of all the facts and circumstances and the repayment of which may be designated in priority to distributions of Cash Flow. An advance by a Member constitutes a loan from that Member to the Company and is not a capital contribution unless otherwise agreed between that Member and the Company and approved by the Managers.

Section III.6. Other Matters Relating to Capital Contributions.

(a) No Member shall be entitled to withdraw, or to obtain a return of, any part of its contribution to the capital of the Company, or to receive property or assets other than cash in return thereof, and no Member shall be liable to any other Member for a return of its contributions to the capital of the Company, except as provided in this Agreement.

(b) No Member shall be entitled to priority over any other Member, either with respect to a return of its contributions to the capital of the Company, or to allocations of taxable income, gains, losses or credits, or to distributions, except as provided in this Agreement.

(c) No interest shall be paid on any Member's Capital Contribution.

Section III.7. Deficit Capital Account Balances. Upon liquidation of the Company, no Member with a deficit balance in his Capital Account shall have any obligation to restore such deficit balance, or to make any contribution to the capital of the Company.

Section III.8. Certification of Units.

(a) The Manager in its sole discretion may, but shall not be required to, issue certificates to the Members representing the Units held by such Member.

(b) In the event that the Company shall issue certificates representing Units in accordance with Section 3.8(a), then in addition to any other legend required by applicable law, all certificates representing issued and outstanding Units shall bear a legend substantially in the following form:

THE UNITS REPRESENTED BY THIS CERTIFICATE ARE SUBJECT TO A LIMITED LIABILITY COMPANY OPERATING AGREEMENT AMONG THE COMPANY AND ITS MEMBERS, A COPY OF WHICH IS ON FILE AT THE PRINCIPAL EXECUTIVE OFFICE OF THE COMPANY, AND A COPY OF WHICH WILL BE SUPPLIED AT NO CHARGE TO THE RECORD HOLDER. NO TRANSFER, SALE, ASSIGNMENT, PLEDGE, HYPOTHECATION OR OTHER DISPOSITION OF THE UNITS REPRESENTED BY THIS CERTIFICATE MAY BE MADE EXCEPT IN ACCORDANCE WITH THE PROVISIONS OF SUCH LIMITED LIABILITY COMPANY OPERATING AGREEMENT.

THE UNITS REPRESENTED BY THIS CERTIFICATE HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, OR UNDER ANY OTHER APPLICABLE SECURITIES LAWS AND MAY NOT BE TRANSFERRED, SOLD, ASSIGNED, PLEDGED, HYPOTHECATED OR OTHERWISE DISPOSED EXCEPT (A) PURSUANT TO A REGISTRATION STATEMENT EFFECTIVE UNDER SUCH ACT AND LAWS, OR (B) PURSUANT TO AN EXEMPTION FROM REGISTRATION THEREUNDER.

ARTICLE IV

MANAGEMENT BY MANAGERS

Section IV.1. Managers. The Company shall be managed by a Board of Managers. The Company's Managers shall have exclusive authority to manage the Company's business affairs. The Managers shall be elected by the Class B-1 Members in accordance with Article V. The Class A Members and the Class B-2 Members shall not have the right to select or remove the Managers of the Company. Managers need not be residents of the State of Colorado or Members of the Company. Notwithstanding any other provision contained in this Agreement, the Managers, by vote of a Majority of the Managers, may delegate any of the powers of the Manager contained in Section 4.3, or any other powers, to a third person. Such delegated powers may be revoked at any time in the same manner as they are delegated.

Section IV.2. Number and Tenure. The initial number of Managers shall be one (1) and the initial Manager shall be Woodland Meadows MHC Manager LLC, a Colorado limited liability company. The foregoing company shall serve as the Manager of the Company until any successors are qualified and duly elected. The number of Managers may be increased or decreased from time to time by action of the Managers or the Members, provided that no decrease shall have the effect of shortening the term of any incumbent Manager. Unless sooner removed in accordance with this Agreement, Managers shall hold office until the Members' next annual meeting and until their successors have been elected and qualified. Members entitled to vote in the election of Managers shall elect Managers to hold office until the next succeeding annual meeting.

Section IV.3. Powers of Managers. Except as specifically provided for herein, the Managers shall have full, complete, and exclusive power to manage and control the Company, and the members shall not have a right to vote on the matters described in the Act (which otherwise would require certain consents of the members for the Company to take certain actions), and shall have the authority to take any action it deems to be necessary, convenient, or advisable in connection with the management of the Company, provided that such action is in the best interests of the Company and all its Members.

Section IV.4. Resignation and Removal. Any Manager may resign at any time. Such resignation shall be made in writing and shall take effect at the time specified therein or, if no time be specified, at the

time of its receipt by the other Managers. Any and all Managers may be removed, either for or without cause, at any special meeting of Members by the affirmative vote of Class B-1 Members holding in the aggregate ninety percent (90%) of the total Class B-1 Units, provided that the Company shall have first obtained the release of all Managers and their Affiliates from any and all personal guarantees or obligations undertaken by any Manager or Affiliate for the benefit of the Company.

Section IV.5. Vacancies. Any vacancy may be filled by the affirmative vote of Class B-1 Members holding in the aggregate ninety percent (90%) of the total Class B-1 Units. A Manager elected to fill a vacancy shall be elected for the unexpired term of his or her predecessor. Any vacancy occurring in the Managers to be filled by reason of an increase in the number of Managers may be filled by the Managers for a term of office continuing only until the next election of one or more Managers by the Members or may be filled by election at a Member annual or special meeting called for that purpose.

Section IV.6. Regular Meetings. The Managers may designate times to conduct regular meetings to discuss the Company's regular business affairs and other matters deemed necessary or advisable in the pursuit of the Company's purposes. No notice of regular meetings for which the Managers have designated a time need be given to Managers.

Section IV.7. Special Meetings. Special meetings of the Managers may be held at any time upon the call of any Company Manager. Notice of the time, place, and purpose of such meeting shall be delivered to each Manager not less than 10 days nor more than 60 days before the meeting. Notice of the time, place, and purpose of such meeting may be waived in writing before or after such meeting and shall be equivalent to the giving of notice. Attendance of a Manager at such meeting shall also constitute a waiver of notice thereof, except where such Manager attends for the express purpose of objecting to the transaction of any business on the ground that the meeting is not lawfully called or convened. Any business to be transacted at any special meeting of the Managers shall be confined to the purposes specified in the notice or waiver of notice of such special meeting.

Section IV.8. Place of Meeting. Manager meetings may be held either within or without the State of Colorado, at whatever place is specified in the call of the meeting. In the absence of specific designation, the meetings shall be held at the Company's registered office. The Managers may appoint from among themselves a Chairman who shall preside at the meetings.

Section IV.9. Quorum. At all meetings of the Managers, the presence of a Majority of the Managers shall be necessary and sufficient to constitute a quorum for the transaction of business, and the act of a Majority of the Managers present at any meeting at which there is a quorum shall be the act of the Managers, except as may be otherwise specifically provided by statute, the Articles or this Agreement. If a quorum shall not be present at any meeting of Managers, the Managers present thereat may adjourn the meeting, without notice other than announcement at the meeting, until a quorum shall be present.

Section IV.10. Action Without Meeting; Telephone Meetings.

(a) Any action required or permitted to be taken at a meeting of the Managers or members of any committee designated by the Managers may be taken without a meeting if a consent in writing, setting forth the action so taken, is signed the minimum number of Managers or members of the committee, as the case may be, necessary in order to approve such action. Such consent shall have the same force and effect as a unanimous vote at a meeting.

(b) Subject to applicable notice provisions and unless otherwise restricted by the Articles, the Managers, or members of any committee designated by the Managers, may participate in and hold a meeting by means of conference telephone or similar communications equipment by means of which all persons participating in the meeting can hear each other, and participation in such meeting shall constitute presence in

person at such meeting, except where a person's participation is for the express purpose of objecting to the transaction of any business on the ground that the meeting is not lawfully called or convened.

Section IV.11. Officers.

(a) Officers of the Company may be appointed by the Managers. The Managers may appoint a Chief Manager and a Secretary among the Managers, and either from among the Managers or from non-Manager persons, a President, one or more Vice Presidents, a Secretary, a Treasurer and any other Officer or assistant Officers as they deem appropriate. Any two (2) or more offices may be held by the same person. Each Officer shall be appointed for such term and shall exercise such powers, perform such duties and have such authority as determined from time to time by the Managers.

(b) The following Officers of the Company, if appointed, shall have such powers and duties, except as modified by the Managers, as generally pertain to their offices, respectively, as well as such powers and duties as from time to time shall be conferred by the Managers and by this Agreement:

(i) President. The President of the Company, subject to the control of the Managers, shall have the responsibility for the general direction of the affairs of the Company, and general supervision over its other officers, responsibility for the general direction of the operational affairs of the Company, and general overall responsibility for the day-to-day operations of the Company. The President may sign in the name of the Company (1) all contracts or other instruments authorized by the Managers and (2) all contracts or instruments in the usual and regular course of business of the Company, except in cases where the signing thereof shall be expressly delegated by the Managers or by this Agreement to some other officer or agent of the Company or when the Managers shall have expressly provided that the President shall not have such authority. In addition, the President shall perform all duties incident to the office of chief executive officer and such other duties as from time to time may be assigned to him or her by the Managers or as prescribed by this Agreement.

(ii) Vice Presidents. At the request of the President, or in his or her absence or disability, the Vice Presidents, in the order of their election, shall perform the duties of the President, and, when so acting, shall have all the powers of, and be subject to all restrictions upon, the President. The Vice Presidents shall perform such duties as may from time to time be assigned to them by the Managers or the President.

(iii) Secretary. The Secretary shall keep the minutes of all meetings of the Members and Managers and shall have general charge of such books and records of the Company as the Managers may direct, and in general shall perform all duties and exercise all powers incident to the office of Secretary and such other duties and powers as the Managers or the President may from time to time assign to or confer on the Secretary.

(c) Each Officer of the Company shall hold office until his successor is chosen and qualified in his stead or until his death or until his resignation or removal from office. Any Officer appointed by the Managers may be removed either with or without cause by the Managers, but such removal shall be without prejudice to the contract rights, if any, of the individual so removed. If the office of any Officer becomes vacant for any reason, the vacancy may be filled by the Managers.

Section IV.12. Manager Fees. At the Initial Closing, the Company shall pay Manager the following compensation as Company expenses:

(a) A quarterly asset management fee (the “Asset Management Fee”) paid quarterly in arrears in an amount equal to Five Percent (5%) of the gross rents and other revenue collected from the Property per quarter.

The compensation payable to the Manager set forth in this Section 4.12 shall be an expense of the Company to determine Cash Flow, and shall be paid prior to any distributions to Members. The fees in this Section 4.12 shall be paid from investment proceeds received by the Company in the Initial Closing. Such sums shall be payable to the Manager in addition to and not in lieu of the sums to which the Managers or their affiliated entities are also entitled by virtue of being Class B-1 Members.

ARTICLE V

MEETINGS OF MEMBERS

Section V.1. Meetings. Meetings of the Members, for any purpose or purposes, may be called by any Member. Notice of the time, place, and purpose of such meeting shall be delivered to each Member not less than 10 days nor more than 60 days before the meeting. Notice of the time, place, and purpose of such meeting may be waived in writing before or after such meeting and shall be equivalent to the giving of notice. Attendance of a Member at such meeting shall also constitute a waiver of notice thereof, except where such Member attends for the express purpose of objecting to the transaction of any business on the ground that the meeting is not lawfully called or convened. Any business to be transacted at any special meeting shall be confined to the purposes stated in the notice or waiver of notice of such special meetings.

Section V.2. Place of Meetings. Meetings of Members for all purposes may be held at such time and place, within or without the State of Colorado, as determined by the Members.

Section V.3. Quorum. At each meeting the holders of a Majority in Membership Interests issued and outstanding and entitled to vote thereat, present in person or represented by proxy, shall be requisite and shall constitute a quorum of the Members for the transaction of business except as otherwise provided by statute, the Articles or this Agreement. If, however, such quorum shall not be present or represented at any meeting of the Members, the Members entitled to vote thereat, present in person or represented by proxy, shall have power to adjourn the meeting, until a quorum shall be present or represented. At such adjourned meeting at which a quorum shall be present or represented, any business may be transacted which might have been transacted at the meeting as originally notified.

Section V.4. Voting by Members. With respect to any matter other than a matter for which the affirmative vote of the holders of a specified portion of the Membership Interests entitled to vote is required by the Act (and that is not otherwise limited herein as may be permitted by statute), the affirmative vote of the holders of a Majority in Membership Interests entitled to vote represented in person or by proxy at a meeting of Members at which a quorum is present shall be the act of the Members, unless otherwise provided in the Articles or this Agreement; provided however, that the Managers shall be elected solely by the Class B-1 Members and the Class A Members and Class B-1 Members shall not have any right to remove, vote for, or appoint Managers of the Company.

Section V.5. Voting Procedure. At any meeting of the Members, every Member having the right to vote shall be entitled to vote in person, by proxy appointed by an instrument in writing subscribed by such Member, or by its duly authorized attorney-in-fact. No form of proxy or power of attorney bearing a date more than eleven (11) months prior to said meeting shall be valid, unless said instrument provides for a longer period. Each proxy shall be revocable unless the proxy form conspicuously states that the proxy is irrevocable and the proxy is coupled with an interest.

Section V.6. Action Without Meeting; Telephone Meetings.

(a) Any action required or permitted to be taken at a meeting of the Members may be taken without a meeting without prior notice, and without a vote, if a consent or consents in writing, setting forth the action so taken, shall be signed by the holder or holders of Membership Interests having not less than the minimum number of votes that would be necessary to take such action at a meeting at which the holders of all Membership Interests entitled to vote on the action were present and voted. Prompt notice shall be given to any Member of the approval of any decision requiring Member approval if such decision was approved without a meeting of the Members and such Member did not approve the decision in writing.

(b) Subject to applicable notice provisions and unless otherwise restricted by the Articles, Members may participate in and hold a meeting by means of conference telephone or similar communications equipment by means of which all individuals participating in the meeting can hear each other, and participation in such meeting shall constitute presence in person at such meeting, except where an individual's participation is for the express purpose of objecting to the transaction of any business on the ground that the meeting is not lawfully called or convened.

Section V.7. Participation. The Members, in their capacity as Members, shall take no part in the control, management, direction, or operation of the affairs of the Company and shall have no power to bind the Company, except as specifically provided herein.

ARTICLE VI

LIMITATION OF LIABILITY; INDEMNIFICATION

Section VI.1. Limitation of Liability. The Members, the Managers and any persons serving as Officers, agents, employees, attorneys and representatives of the Company shall not be liable, responsible, or accountable in damages or otherwise to the Company or the other Members for any mistake of fact or judgment in operating the business of the Company or for any act performed (or omitted to be performed) in good faith (including, without limitation, pursuant to advice of legal counsel) and within the scope of this Agreement, unless such actions or inactions shall have resulted from gross negligence, willful misconduct, or fraud.

Section VI.2. Indemnification.

(a) The Company shall indemnify any person who was, is, or is threatened to be made a named defendant or respondent in a Proceeding (as such term is defined below) because the person (i) is or was a Manager or Officer of the Company or (ii) while a Manager or Officer of the Company, is or was serving at the request of the Company as a director, manager, officer, partner, venturer, proprietor, trustee, employee, agent, attorney or similar functionary of another foreign or domestic corporation, partnership, joint venture, sole proprietorship, trust, employee benefit plan, or other enterprise, to the fullest extent that a limited liability company may grant indemnification to a manager or officer under the Act, as the same exists or may hereafter be amended. Such right shall be a contract right and as such shall run to the benefit of any Manager or Officer who is elected and accepts the position of Manager or Officer of the Company or elects to continue to serve as a Manager or Officer of the Company while this Article VI is in effect. Any repeal or amendment of this Article VI shall be prospective only and shall not limit the rights of any such Manager or Officer or the obligations of the Company with respect to any claim arising from or related to the services of such Manager or Officer in any of the foregoing capacities prior to any such repeal or amendment of this Article VI. Such right shall include the right to be paid or reimbursed by the Company for expenses incurred in defending any such Proceeding in advance of its final disposition to the maximum extent permitted under the Act, as the same exists or may hereafter be amended. If a claim for indemnification or advancement of expenses hereunder is not paid in full by the Company within 90 days after a written claim has been received by the Company, the claimant may at any time thereafter bring suit against the Company to recover the unpaid amount of the claim, and if successful in whole or in part, the claimant shall be entitled to be paid also

the expenses of prosecuting such claim. It shall be a defense to any such action that such indemnification or advancement of costs of defense are not permitted under the Act, but the burden of proving such defense shall be on the Company. Neither the failure of the Company (including its Managers or any committee thereof, special legal counsel, or Members) to have made its determination prior to the commencement of such action that indemnification of, or advancement of costs of defense to, the claimant is permissible in the circumstances nor an actual determination by the Company (including its Managers or any committee thereof, special legal counsel, or Members) that such indemnification or advancement is not permissible, shall be a defense to the action or create a presumption that such indemnification or advancement is not permissible. In the event of the death of any person having a right of indemnification under the foregoing provisions, such right shall inure to the benefit of his heirs, executors, administrators, and personal representatives. The rights conferred above shall not be exclusive of any other right which any person may have or hereafter acquire under any statute, regulation, resolution of Members or Managers, agreement, or otherwise.

(b) The Company may additionally indemnify any person covered by the grant of mandatory indemnification contained above to such further extent as is permitted by law and may indemnify any other person to the fullest extent permitted by law.

(c) To the extent permitted by then applicable law, the grant of mandatory indemnification to any person pursuant to this Article VI shall extend to Proceedings involving the negligence of such person.

(d) As used herein, the term “Proceeding” means any threatened, pending, or completed action, suit, or proceeding, whether civil, criminal, administrative, arbitrative, or investigative, any appeal in such an action, suit, or proceeding, and any inquiry or investigation that could lead to such an action, suit, or proceeding.

ARTICLE VII

DISTRIBUTIONS; ALLOCATIONS

Section VII.1. Allocation of Net Income and Loss from Operations and Upon Liquidating Event. Net income, gain, deduction and loss for each fiscal year from Operations, and upon a Liquidating Event, shall be determined for financial accounting purposes in accordance with the method of accounting used for federal income tax purposes and the books and records of the Company. Except as provided in Section 7.3 and Section 7.5, net income, gain, deduction and loss shall be allocated among the Members (prior to any distributions of Cash Flow attributable thereto) in the manner as set forth below.

(a) After taking into account the special allocations set forth in this Article VII, all items of income, gain, loss, deduction and credit will be allocated among the Members in accordance with the following provisions: except as otherwise provided by Section 704(c) of the Code and Treasury Regulation Section 1.704-1(b)(2)(iv)(f)(4), all items of gain or loss resulting from the net income or net loss of the Company or the sale, assignment, transfer, conveyance, gift, pledge, hypothecation, or other encumbrance or any other disposition, whether voluntary, involuntary, or by operation of law Company property other than in the ordinary course of the Company’s business shall be allocated for income tax purposes for each fiscal year of the Company among the Members in such a manner as shall cause the Capital Accounts of the Members (as adjusted through the end of such fiscal year) to equal, as nearly as possible, the amounts such Members would receive if all cash on hand at the end of such fiscal year were distributed to the Members under Section 7.2, assuming all assets owned by the Company at the end of such fiscal year were sold for cash at the values reflected for such assets on the books of the Company, all liabilities of the Company were satisfied in cash in accordance with their terms (limited in the case of Member nonrecourse debt and Company nonrecourse liabilities to the fair market value of the assets securing such liabilities), and any remaining cash was distributed to the Members under Section 7.2.

(b) Items of deduction, loss, and credit not specifically provided for above, including depreciation, cost recovery, and amortization deductions, shall be allocated to the Members in the same manner that the costs and expenses of the Company that gave rise to such items of deduction, loss, and credit were allocated pursuant to Section 7.1(a).

(c) All recapture of income tax deductions resulting from the sale, assignment, transfer, conveyance, gift, pledge, hypothecation, or other encumbrance or any other disposition, whether voluntary, involuntary, or by operation of law of Company property shall, to the maximum extent possible, be allocated to the Member to whom the deduction that gave rise to such recapture was allocated hereunder to the extent that such Member is allocated any gain from the sale, assignment, transfer, conveyance, gift, pledge, hypothecation, or other encumbrance or any other disposition, whether voluntary, involuntary, or by operation of law of such property.

Section VII.2. Distributions of Cash Flow. Subject to all requirements of the Act, the Managers shall distribute Cash Flow when available to the Members (as determined by the Manager in its sole discretion), in the manner described as follows:

(a) Cash Flow from Operations shall be distributed as follows:

(i) One Hundred Percent (100%) of available cash first shall be paid to the Class A Members pro rata according to the number of Class A Units held by each until each Class A Member shall have received distributions equal to the Class A Preferred Return; and

(ii) Next, Seventy Percent (70%) of available cash shall be paid to the Class A Members pro rata according to the number of Class A Units held by each, and Thirty Percent (30%) of cash shall be paid pro rata by subclass to the Class B-1 Members pro rata according to the number of Class B-1 Units held by each and to the Class B-2 Members pro rata according to the number of Class B-2 Units held by each.

(b) Cash Flow from a Liquidating Event shall be distributed as follows:

(i) One Hundred Percent (100%) of available cash first shall be paid to the Class A Members pro rata according to the number of Class A Units held by each until each Class A Member shall have received distributions equal to the Class A Preferred Return (unless the Class A Members already have received the Class A Preferred Return from prior distributions);

(ii) Thereafter, One Hundred Percent (100%) of available cash shall be paid to Class A Members pro rata according to the number of Class A Units held by each until each Class A Member shall have received aggregate distributions equal to the Class A Member's Unreturned Capital Contribution plus the Class A Preferred Return; and

(iii) Finally, Seventy Percent (70%) of available cash shall be paid to the Class A Members pro rata according to the number of Class A Units held by each, and Thirty Percent (30%) of cash shall be paid pro rata by subclass to the Class B-1 Members pro rata according to the number of Class B-1 Units held by each and to the Class B-2 Members pro rata according to the number of Class B-2 Units held by each.

Notwithstanding the foregoing, no Cash Flow shall be distributed prior to the time that Company revenues exceed Company expenses.

Section VII.3. Special Allocations.

(a) Minimum Gain Chargeback. Notwithstanding any provision of this Article VII, if there is a net decrease in Company minimum gain during any fiscal year or other period, prior to any other allocation pursuant hereto, each Member shall be specially allocated items of Company income and gain for such year (and, if necessary, subsequent years) in an amount and manner required by Treasury Regulation Section 1.704-2. Notwithstanding any provision of this Article VII, if there is a net decrease in Member nonrecourse debt minimum gain, any Member with a share of that Member nonrecourse debt minimum gain as of the beginning of such year shall be allocated items of income and gain for the year (and, if necessary, for succeeding years) equal to that Member's share of the net decrease in the Member's nonrecourse debt minimum gain, as provided in Treasury Regulation Section 1.704-2(i)(4).

(b) Limitation on Losses. The aggregate amount of losses and deductions allocated pursuant to Section 7.1 hereof and the next sentence of this Section 7.3(b) to any Member for any fiscal year shall not exceed the maximum amount of losses and deductions that may be allocated to such Member without causing such Member to have an Adjusted Capital Account Deficit at the end of such fiscal year. All losses and deductions in excess of the limitation in this Section 7.3(b) with respect to any Member shall be allocated solely to the other Members in proportion to their Membership Interests. If no other Member may receive an additional allocation of Losses pursuant to this Section 7.3(b), such additional losses and deductions not allocated pursuant to Section 7.1 of this Agreement or the preceding sentence shall be allocated solely to those Members that bear the economic risk for such additional losses and deductions within the meaning of Section 704(b) of the Code and the Treasury Regulations thereunder. If it is necessary to allocate losses and deductions under the preceding sentence, the Managers shall, in accordance with the Treasury Regulations promulgated under Section 704(b) of the Code, determine those Members that bear the economic risk for such additional losses and deductions.

(c) Qualified Income Offset. Any Member who unexpectedly receives an adjustment, allocation or distribution described in Treasury Regulation Section 1.704-1(b)(2)(ii)(d)(4), (5) or (6) that causes or increases a negative balance in its Capital Account beyond the sum of (i) the amount such Member is obligated to restore pursuant to any provision of this Agreement, (ii) the amount such Member is deemed to be obligated to restore pursuant to Treasury Regulation Section 1.704-2, and (iii) its share of Company minimum gain shall be allocated items of income and gain sufficient to eliminate such increase or negative balance caused thereby, as quickly as possible, to the extent required by such Treasury Regulation; provided that an allocation pursuant to this Section 7.3(c) shall be made only if and to the extent that such Member would have a deficit Capital Account in excess of such sum after all other allocations provided for in this Article VII have been made as if this Section 7.3(c) were not in this Agreement.

(d) Gross Income Allocation. If a Member has a deficit Capital Account at the end of any Fiscal Year that exceeds the sum of (i) the amount that Member is obligated to restore, and (ii) the amount the Member is deemed to be obligated to restore pursuant to the penultimate sentences of Regulations Sections 1.704-2(g)(1) and 1.704-2(i)(5), then each such Member shall be specially allocated items of income and gain of the Company in the amount of the excess as quickly as possible, *provided* that an allocation pursuant to this Section 7.3(d) shall be made if and only to the extent that the Member would have a deficit Capital Account in excess of that sum after all other allocations provided for in this Article VII have been tentatively made without considering Section 7.3(a).

(e) Nonrecourse Deductions. Nonrecourse Deductions for any fiscal year shall be specially allocated to the Members pro rata in accordance with each Member's Membership Interest. "Nonrecourse Deductions" has the meaning set forth in Sections 1.704-2(b)(1) and 1.704-2(c) of the Regulations.

(f) Partner Nonrecourse Deductions. Any Partner Nonrecourse Deductions for a fiscal year shall be specially allocated to the Members who bear the economic risk of loss for the liability to which such

deductions are attributable in accordance with Section 1.704-2(i)(1) of the Regulations. “Partner Nonrecourse Deductions” has the meaning set forth in Section 1.704-2(i)(2) of the Regulations.

(g) Section 704(b) Limitation. Notwithstanding any other provision of this Agreement to the contrary, no allocation of any item of income or loss shall be made to a Member if such allocation would not have “economic effect” pursuant to Treasury Regulation Section 1.704-1(b)(2)(ii) or otherwise be in accordance with its interest in the Company within the meaning of Treasury Regulation Sections 1.704-1(b)(3) and 1.704-2. To the extent an allocation cannot be made to a Member due to the application of this Section 7.3(g), such allocation shall be made to the other Member(s) entitled or required to receive such allocation hereunder.

(h) Curative Allocations. Any allocations of items of income, gain, or loss pursuant to Sections 7.3(a) through (d) shall be taken into account in computing subsequent allocations pursuant to this Article VII, so that the net amount of any items so allocated and the income, losses and other items allocated to each Member pursuant to this Article VII shall, to the extent possible, be equal to the net amount that would have been allocated to each Member had no allocations ever been made pursuant to Sections 7.3(a) through (d).

Section VII.4. Distributions Upon Liquidation of Company.

(a) Upon liquidation of the Company the assets of the Company shall be distributed no later than the later of ninety (90) days after the date of such liquidation or the end of the Company’s taxable year in which the liquidation occurs and shall be applied in the following order of priority:

(i) To the payment of debts and liabilities of the Company (including amounts owed to Members or former Members);

(ii) Unless inconsistent with Treasury Regulation Section 1.704-1(b)(2)(ii)(b), or any successor provision, to set up any reserves which the Managers deem reasonably necessary for contingent or unforeseen liabilities or obligations of the Company arising out of or in connection with the business of the Company; and

(iii) To the Members in the same manner as Distributions are made under Section 7.2, provided however, that such Distributions shall be made pro rata in accordance with each Member’s positive Capital Account balance, including such adjustments thereto under Section 7.1 of this Agreement.

(b) If a transfer of an interest in the Company results in a termination of the Company for federal income tax purposes under Section 708(b)(1)(B) of the Code (or any successor provision thereto), Section 7.4(a)(iii) shall not apply and a Member’s portion of the constructive liquidating distribution of the Company’s assets that is deemed to occur under Treasury Regulation Section 1.708-1(b)(1)(iv) (or any similar or successor provision) shall be determined in accordance with the Capital Accounts of the Members as determined after taking into account all Capital Account adjustments for the Company’s taxable year ending on the date of such termination.

Section VII.5. Additional Tax Allocation Provisions.

(a) For income tax purposes, allocations of income, gain, deduction and loss (and items thereof) shall be made in accordance with the foregoing allocations of income, gain, deduction and loss for financial purposes.

(b) Notwithstanding anything to the contrary contained herein, items of income, gain, loss and deduction with respect to property, other than cash, contributed to the Company by a Member or with

respect to an adjustment to the Members' Capital Accounts to reflect a revaluation of the assets of the Company, shall be allocated among the Members so as to take into account the variation between the basis of the property to the Company and its fair market value at the time of contribution or, in the case of a revaluation of the assets of the Company, the variation between the basis of the assets of the Company to the Company and its fair market value as of the date of revaluation, as provided in Section 704(c) of the Code and Regulations thereunder and Treasury Regulations Section 1.704-1(b)(2)(iv)(g).

Section VII.6. Tax Distributions. Notwithstanding the provisions of Sections 7.1 and 7.2, to the extent that for any fiscal year the amount of net income and gains of the Company allocated to a Member exceeds the sum of (i) losses of the Company for prior fiscal years reduced by (ii) the amount of net income and gains of the Company for prior fiscal years allocated to that Member pursuant to this Article VII, the Managers may, in their reasonable discretion, distribute to such Member an amount of available unreserved Cash Flow, if any, equal to (a) the amount reasonably calculated by the Managers based upon an assumed uniform tax rate for all Members to equal the amount of each Member's tax liability on that excess allocated to such Member, less (b) the aggregate amount of prior distributions by the Company to that Member that were not required by this provision; except that no such distribution will be made to the extent that (x) the Company is restricted from the payment of distributions under the terms of any note or agreement relating to borrowings by the Company, or (y) the Managers reasonably determine that such cash is necessary for the operation of the Company's business. Any distributions allowed by this Section 7.6 for any year should be made no later than April 1 of the following year, but the Managers may, to the extent practical, make such distributions quarterly based on projections of income. Any distributions made to a Member under this section will be offset against subsequent distributions due to that Member under this Article VII. The Members agree and acknowledge that in the event the Company cannot make distributions under this Section 7.6, each Member will be required to pay for the tax liability associated with their ownership of the Company's Units from the Member's other sources of funds.

ARTICLE VIII

FISCAL MATTERS

Section VIII.1. Books and Records. The Company shall keep full and accurate books and records of all of its transactions in accordance with both regulatory and generally accepted accounting principles, consistently applied. Without limiting the generality of the foregoing, the Company shall keep:

- (a) A current list of the following items:
 - (i) the name and mailing address of each Member;
 - (ii) the last known street address of the business or residence of each Member;
 - and
 - (iii) the Membership Interest of each Member.
- (b) Copies of the Company's federal, state and local tax returns for each of the Company's six (6) most recent tax years.
- (c) A copy of this Agreement, the Articles, all amendments and restatements, and executed copies of any powers of attorney under which this Agreement, the Articles and any and all amendments or restatements thereto have been executed.
- (d) A written statement of

- (i) the amount of any cash contribution made by each Member in addition to the Capital Contributions set forth in Section 3.1 and a description and statement of the agreed value of any other contribution made by each Member, and the amount of any cash contribution and a description and statement of the agreed value of any other contribution that the Member has agreed to make in the future as an additional contribution;
 - (ii) the times at which additional contributions are to be made or events requiring additional contributions to be made;
 - (iii) events requiring the Company to be dissolved and its affairs wound up; and
 - (iv) the date on which each Member became a Member.
- (e) Correct and complete books and records of account of the Company.

All of such books and records shall, at all times, be maintained at the principal place of business of the Company and the Members shall have the right to inspect and copy any of them, at their own expense, during normal business hours.

Section VIII.2. Tax Returns. The Managers shall cause to be prepared and filed on or before the Company's applicable filing due date (including extensions), any required federal, state and local tax returns for the Company.

Section VIII.3. Bank Accounts. The Managers shall open and maintain a special bank account or accounts in a bank or other financial institution, the deposits of which are insured by an agency of the United States government, in which shall be deposited all funds of the Company. There shall be no commingling of the property and assets of the Company with the property and assets of any other Person.

Section VIII.4. Tax Elections. The Managers shall be entitled to determine any election available to the Company for federal, state or local tax purposes.

Section VIII.5. Partnership Representative. The Managers shall designate one (1) Class B-1 Member to be the "partnership representative" of the Company pursuant to Section 6223 of the Code. The partnership representative shall be authorized, empowered, and required to represent the Company (at the Company's expense) in connection with all examinations of the Company's affairs by tax authorities, including resulting administrative and judicial proceedings, and to expend Company funds for professional services and costs associated therewith.

Section VIII.6. Reports and Statements. Within forty-five (45) days after the end of each fiscal quarter of the Company and within sixty (60) days after the end of each fiscal year, the Manager will prepare and cause to be delivered to the Members the following:

- (a) a profit and loss statement of the Company;
- (b) a balance sheet of the Company;
- (c) a quarterly cash flow statement; and
- (d) such other information, as in the judgment of the Manager, is reasonably necessary for the Members to be advised of the results of operations of the Company.

ARTICLE IX

TRANSFERS OF MEMBERSHIP INTERESTS; MEMBER WITHDRAWALS

Section IX.1. Transfers of Membership Interests.

(a) Consent to Transfer. Except as otherwise permitted by this Agreement, no Member may directly or indirectly Transfer all or any part of its Membership Interests without the prior written approval of the Managers. In addition, (i) no Transfer by a Member of any of a Member's Membership Interests as security for the payment of a debt shall be valid unless approved by the Managers and made pursuant to a pledge or hypothecation agreement that requires the pledgee or secured party to be bound by all of the terms and conditions of this Agreement; and (ii) no Transfer by a Member to a direct or indirect competitor of the Company, in the sole determination of the Managers, shall be valid. Any purported transfer that violates any provision of this Agreement shall be void *ab initio*.

(b) Compliance with Agreement. Each of the Members agrees to vote, sell, convey, Transfer and deliver the Membership Interests, and all other securities of the Company that are owned by the Member, whether now owned or hereafter acquired, in accordance with the terms of this Agreement.

Section IX.2. Permitted Transfers. The following Transfers shall be permitted under this Agreement ("Permitted Transfers") and shall be subject to the provisions of Section 9.3; however, Permitted Transfers shall not be subject to the transfer restrictions set forth in Sections 9.4 and 9.5.

(a) a Transfer to a trust or other entity solely for the benefit of the Member or one or more members of such Member's immediate family and their descendants, if the Member or another Member is the trustee of the trust;

(b) a Transfer to an entity if, following the Transfer, at least a majority interest in the entity is owned by the transferring Member or if the entity is controlled by the transferring Member;

(c) a Transfer to another Member; or

(d) a redemption or repurchase of Membership Interests by the Company.

Section IX.3. Conditions to Permitted Transfers.

(a) The Member or the transferee must file with the Company a written and dated instrument of such Transfer, in form and substance reasonably satisfactory to the Managers, executed by both the transferor and the transferee, which instrument shall (i) contain the acceptance by the transferee of all of the terms and provisions of this Agreement, to the extent applicable to an assignee of a Membership Interest, (ii) contain such representations as the Managers may deem reasonably necessary or advisable to assure that such Transfer need not be registered under any applicable federal or state securities laws, (iii) instruct the Managers as to the Membership Interest transferred and to whom and at what address Company distributions and Notifications in respect of such Membership Interest should thereafter be sent, and (iv) contain any information required under the Code that is requested by the Managers.

(b) Unless expressly waived by the Managers, the transferor or transferee shall deliver to the Company an opinion of counsel acceptable to the Managers that (i) such Transfer is exempt from the registration requirements of the Securities Act of 1933, as amended, applicable state securities laws, and any rules or regulations promulgated thereunder, and will not otherwise cause the Company to be in violation of such laws and regulations, (ii) the Transfer will not result in the termination of the Company within the

meaning of Section 708(b) of the Code, and (iii) the Transfer will not adversely affect the status of the Company as a partnership under the Code.

(c) The transferor Member and the transferee shall have received a written acknowledgment from the Managers that the Transfer has been approved by the Managers of the Company; provided, however, that the Membership Interests of any individual Member shall be transferable without the approval of the Managers if both of the following factors apply: (i) such Transfer occurs by reason of the death of the Member and each transferee is a member of such Member's immediate family (i.e., spouse, parent or child of such Member), or a trust, corporation or other entity controlled by or for the benefit of such Member or members of such Member's immediate family; and (ii) each transferee otherwise complies with the provisions of Sections 9.3(a) and 9.3(b) (except that the instrument described in Section 9.3(a) need not be executed by the transferor Member).

Section IX.4. Right of First Refusal.

(a) A Member (the "Selling Member") who wishes to accept a bona fide offer to purchase some or all of his Membership Interests (a "Bona Fide Offer") will give Notification in writing to the Company setting out the terms of the Bona Fide Offer (the "ROFR Notice"), including the amount of Membership Interests to be sold, the name and address of each Person proposing to purchase such Membership Interests (and the names of the officers, directors, managers, and 10% or more beneficial owners of any such Person), and the sales price and terms of payment of the Bona Fide Offer.

(b) The Notification will constitute an offer to the Company, valid for 30 days following the Company's receipt of Notification thereof, to purchase the Membership Interests subject to such Bona Fide Offer at the price and on the terms proposed in the Bona Fide Offer. If at the end of the 30-day period, the Company has not elected to purchase all of the Selling Member's Membership Interests that are subject to the Bona Fide Offer, the Selling Member will make the same offer with respect to Membership Interests that the Company did not elect to acquire to each of the other Members (the "Non-Selling Members") by Notification, giving the same information with respect to the Bona Fide Offer as was given to the Company. The Non-Selling Members shall then have the option to purchase their pro rata share of the unpurchased Membership Interests (determined pro rata in accordance with the respective ownership of Membership Interests in the Company by all Non-Selling Members who exercise this option) for a period of 30 days from receipt of the Notification; provided that, at the Closing of any purchase of a Selling Member's interest, the purchaser, whether the Company or one or more Non-Selling Members, shall repay all indebtedness to the Selling Member and/or obtain the release of the Selling Member from all guarantees.

(c) To the extent that the Company and the Non-Selling Members have not exercised their respective rights of first refusal as to the Units that the Selling Member is proposing to sell within the time periods specified in Section 9.4(b), then the Selling Member shall be free to sell any such Units to such prospective purchaser on the same terms and conditions as outlined in the ROFR Notice; provided however, that in the event such Units are not sold within one hundred twenty (120) days of the date of the ROFR Notice, they shall once again be subject to the right of first refusal provided herein.

(d) Any material modification of a Bona Fide Offer made after delivery of the ROFR Notice to the Company and the Non-Selling Members will be deemed to be a new Bona Fide Offer and the procedure set forth in this Section 9.4 shall re-commence.

Section IX.5. Options Arising on Purchase Events.

(a) Purchase Events. Each of the following events shall be a purchase event ("Purchase Event") and shall give rise to the purchase options as further described in this Section 9.5:

(i) those Transfers described in the definition of Transfer in Section 1.1 of this Agreement;

(ii) the dissolution, liquidation, or termination of a Member that is an entity, unless the Membership Interests are distributed pro rata to the beneficial owners of such entity;

(iii) if a Member that is not a natural person ceases to be controlled by the Person who controlled such Member as of the date that the Member becomes a party to this Agreement; and

(iv) if any Membership Interests owned by a Member are transferred by operation of law, including, but not limited to, (A) any adjudication in bankruptcy; (B) the appointment of a receiver for the assets of a Member; or (C) a merger, combination, consolidation, sale of substantially all of the assets, or other transaction pursuant to which the Member does not maintain voting control or majority ownership of the resulting entity.

(b) Purchase Options.

(i) Within 30 days of the occurrence of a Purchase Event, the Member that is the subject of the Purchase Event (or, if applicable, the heirs, assigns, successors, or personal or legal representative of the Member) (also a “Selling Member”) shall give Notification to the Company that the Purchase Event has occurred. The Company shall, within 15 days of the receipt of such Notification, give Notification to each of the other Members (also “Non-Selling Members”) of the occurrence of the Purchase Event. As of the date Notification is given to the Non-Selling Members, the procedure described in Section 9.5(c) for the determination of the purchase price of the Membership Interests (the “Purchase Price”) shall commence.

(ii) The Company shall have the option, exercisable by written Notification to the Selling Member within 30 days of determination of the Purchase Price, to purchase the Membership Interests for the Purchase Price and pay for such Membership Interests in accordance with Section 9.5(d) (the “Purchase Price Payment”). If the Company does not, within the time specified, exercise its option to purchase all of the Selling Member’s Membership Interests, the Company shall immediately notify the Non-Selling Members of the number of Membership Interests available for purchase and the Purchase Price, and the Non-Selling Members shall have an option, exercisable by written Notification to the Company and the Selling Member, within 30 days following receipt of Notification from the Company, to purchase the Membership Interests that the Company has not elected to acquire. Purchases by the Non-Selling Members, unless they agree otherwise, shall be pro rata (determined in accordance with the respective ownership of Membership Interests in the Company by all Non-Selling Members who exercise this option) for the Purchase Price Payment. Non-Selling Members who participate in the appraisal process and/or exercise their option to purchase are referred to as “Participating Members.” Any Membership Interests not purchased by the Company or the Participating Members will remain the property of the Selling Member.

(c) Purchase Price. The Purchase Price will be the fair market value of the Selling Member’s Membership Interests as of the last day of the month preceding the month in which any Purchase Event occurs (the “Fair Market Value”). At the Closing of any purchase of a Selling Member’s interest, the purchaser, whether the Company or one or more Non-Selling Members, shall repay all indebtedness of the

Company to the Selling Member, (and the Selling Member shall assign its right to payment to the purchaser) and/or obtain the release of the Selling Member from all guarantees of the Company's indebtedness.

(i) For a period of 30 days following Notification to the Non-Selling Members that a Purchase Event has occurred, the Company, the Selling Members, and the Participating Members may negotiate to agree on the Fair Market Value of the Selling Member's Membership Interests. If the parties cannot agree on the Fair Market Value, the Company, the Selling Member, and the Participating Members (acting by vote of holders of a majority of their Membership Interests) will each have the right, within 45 days after receipt of Notification that a Purchase Event has occurred, to appoint an appraiser. The appraisers who have been timely appointed shall, within 30 days of the appointment of the first appraiser, but in no event less than 45 days following the Notification, select one appraiser who shall, within 90 days of his selection, determine the Fair Market Value of the Selling Member's Membership Interests and deliver to the Company, the Selling Member and the Participating Members a written appraisal supported by analysis. The appraisal will be conclusive and binding on all parties. If only one appraiser is appointed, that appraiser shall make a written determination as to the Fair Market Value of the Selling Member's Membership Interests supported by analysis. Each appraiser selected pursuant to this Section 9.5 must be independent and experienced in appraising similar closely held businesses.

(ii) The Selling Member, the Company, and the Participating Members will each be responsible for the fees and expenses of the appraiser appointed by them and for one-third of the fees and expenses of the appraiser conducting the appraisal. The Participating Members shall bear the expense pro rata, according to the number of Membership Interests owned by each. No Person shall be required to pay any portion of the appraisers' fees if, within 30 days of Notification of a Purchase Event, he relinquishes his right to purchase the Membership Interests.

(d) Payment. Payment for the Membership Interests shall be made at a closing (the "Closing") which shall occur no later than 60 days following determination of the Purchase Price or such other date as may be agreed upon by the Selling Member and the purchaser. At the Closing, the Purchase Price Payment will be made by such arrangement as the Selling Member and the purchaser (whether the Company or the Participating Members, or both) may agree to in writing. If no agreement is reached prior to the Closing, then, at the Closing, Twenty Percent (20%) of the Purchase Price will be paid in cash and the balance will be paid by delivery of one or more promissory notes for the balance, payable in equal quarterly installments over a six-year period and bearing interest at a variable rate adjusted quarterly, such rate being equal to the prime rate quoted in the Wall Street Journal Money Market Rates plus three percent (3%) as of one business day preceding each calendar quarter. Payment of the promissory notes shall be secured by a pledge of the Membership Interests acquired.

Section IX.6. Failure to Give Notification. If any option period hereunder commences with the giving of Notification and the Person required to give such Notification fails for any reason to do so within 30 days of the occurrence of a Purchase Event or other event requiring Notification, then the option shall be in effect for the applicable period of time commencing with the later of the end of such 30-day period or the date that the Company or the Member, as applicable, receives actual Notification from any source that a Purchase Event or other event requiring Notification has occurred.

Section IX.7. Continuation or Termination of Rights. Any Membership Interests not purchased by the Company or the Members pursuant to this Article IX will remain subject to the provisions of this Agreement. The purchase and sale of Membership Interests, if consummated pursuant to this Agreement, will be deemed to be effective as of the date of exercise of the option to purchase under this Agreement, and,

except the right to receive the Purchase Price Payment, all rights and interests of the Member pertaining to the Membership Interests sold and, if all Membership Interests are sold, all rights and interests of the Member under this Agreement, will terminate and cease on the date of such exercise.

Section IX.8. Admission of Transferees as Members. Notwithstanding the other provisions of this Article IX, a transferee of Membership Interests shall merely be an assignee of a Company Interest, and shall not be admitted to the Company as a substituted Member until it has satisfied the following conditions:

(a) The Company consents to such admission, which consent may be given or withheld in the sole and absolute discretion of the Managers;

(b) The Membership Interests with respect to which the transferee is being admitted were acquired by means of a Transfer permitted under this Agreement;

(c) The transferee becomes a party to this Agreement as a Member and executes such documents and instruments as the Company may reasonably request (including, without limitation, amendments to the Articles) as may be necessary or appropriate to confirm such transferee as a Member in the Company and such transferee's agreement to be bound by the terms and conditions of this Agreement;

(d) The transferee pays or reimburses the Company for all reasonable legal, filing, and publication costs that the Company incurs in connection with the admission of the transferee as a Member with respect to the transferred Membership Interests; and

(e) If the transferee is not an individual of legal majority, the transferee provides the Company with evidence satisfactory to counsel for the Company of the authority of the transferee to become a Member and to be bound by the terms and conditions of this Agreement.

Section IX.9. Prohibited Transfers.

(a) Any purported Transfer that is not made in accordance with this Agreement shall be null and void and of no force or effect whatever; provided that, if the Company is required to recognize a Transfer that is not made in accordance with this Agreement (or if the Company, in its sole discretion, elects to recognize a Transfer that is not made in accordance with this Agreement), the transferred Membership Interests shall be strictly limited to the transferor's rights to allocations and distributions as provided by this Agreement with respect to the transferred Membership Interests, which allocations and distributions may be applied (without limiting any other legal or equitable rights of the Company) to satisfy any debts, obligations, or liabilities for damages that the transferor or transferee of such Membership Interests may have to the Company. The transferee shall have no right to any information or accounting of the affairs of the Company, shall not be entitled to inspect the books or records of the Company, and shall not have any of the rights of a Member under the Act or this Agreement.

(b) In the case of a Transfer or attempted Transfer that is not made in accordance with this Agreement, the parties engaging or attempting to engage in such Transfer shall be liable to indemnify and hold harmless the Company and the other Members from all cost, liability, and damage that any of such indemnified Persons may incur (including, without limitation, incremental tax liability and attorneys' fees and expenses) as a result of such Transfer or attempted Transfer and efforts to enforce the indemnity granted hereby.

Section IX.10. Withdrawal. A Member may not request redemption of its Units by the Company, or otherwise voluntarily withdraw as a Member of the Company.

ARTICLE X

TERMINATION AND WINDING UP

Section X.1. Events Requiring Winding Up. Winding up of the Company is required upon the first of the following events to occur:

- (a) The expiration of the period of duration of the Company set forth in the Articles of Organization, if not perpetual;
- (b) The approval by the Managers at any time to terminate and wind up the affairs of the Company;
- (c) The occurrence of any other event that causes the winding up or termination of a limited liability company under the Act; or
- (d) A decree by a court requiring the winding up or termination of the Company, rendered under the Act or other law.

Section X.2. Winding Up; Liquidator.

- (a) If the Company is required to wind up pursuant to Section 10.1, the Company shall cease to carry on its business, except to the extent necessary to wind up its business as soon as reasonably practicable in the manner set forth below.
- (b) The winding up of the Company's affairs shall be supervised by a Liquidator. The Liquidator shall be the Managers or, if the Managers are unable to perform such function, a liquidator or liquidating committee selected by a Majority in Membership Interests of the Class B-1 Members.
- (c) The Liquidator shall wind up the affairs of the Company and distribute its remaining assets to the Members in accordance with Section 7.4 in liquidation of the Company. Thereafter the Liquidator shall file a certificate of termination with the Secretary of State of the State of Colorado. In no event shall there be a distribution of assets of the Company in kind, unless a Majority in Membership Interests approve such distribution.

Section X.3. Compensation of Liquidator. The Liquidator appointed as provided herein shall be entitled to receive such reasonable compensation for its services as shall be agreed upon by the Liquidator and a Majority in Membership Interest.

Section X.4. Final Audit. Within a reasonable time following the completion of the liquidation, the Liquidator shall supply to each of the Members a statement which shall set forth the assets and the liabilities of the Company as of the date of complete liquidation and each Member's pro rata portion of distributions pursuant to Section 7.4.

ARTICLE XI

MISCELLANEOUS

Section XI.1. Amendments.

- (a) This Agreement may be amended, modified, terminated or waived only by written agreement by a Majority in Membership Interests (which in any event must include the agreement and consent of the Class B-1 Members holding a majority of the Class B-1 Units and the Managers); provided, however, with respect to any change, modification, or amendment to this Agreement that would (i) increase the liability or

duties of any of the Members, (ii) change the contributions required of any of the Members, (iii) cause the Company to be taxed as a corporation, (iv) otherwise result in any disproportionate and material adverse tax consequences for any Member, or (v) disproportionately and adversely affects the rights hereunder of any Member, such change, modification, or amendment shall not be binding on such Member unless contained in a written instrument duly executed by such Member.

(b) Notwithstanding the provisions of Section 11.1(a), the Managers may amend the Agreement without the consent of any Member at any time (i) to comply with applicable laws and regulations; (ii) to make changes that do not adversely affect the rights or obligations of any Member; (iii) to cure any ambiguity or correct or supplement any conflicting provisions of this Agreement; or (iv) with respect to any other amendment, if any Member objecting to such amendment has an opportunity to withdraw from the Company as of a date that is not less than forty-five (45) days after the Manager has furnished written notice of such amendment to each Member and that is prior to the effective date of the amendment.

Section XI.2. Entire Agreement. This Agreement contains the entire agreement among the Members and Managers relating to the subject matter hereof and all prior agreements relative hereto which are not contained herein are terminated.

Section XI.3. Other Activities. Any Member may engage or possess an interest in other business ventures of every nature and description, independently or with others, provided that such interest in other business ventures is not directly competitive with the business of the Company (unless otherwise prohibited by court order, government regulation or other law), and neither the Company nor any of the other Members shall have any right by virtue of this Agreement in and to such other ventures or to the income or property derived therefrom.

Section XI.4. Partition. No Member shall be entitled to a partition of any property or assets of the Company, notwithstanding any provision of law to the contrary. A Membership Interest is personal property.

Section XI.5. Provisions Severable. This Agreement is intended to be performed in accordance with, and only to the extent permitted by, all applicable laws, ordinances, rules and regulations. If any provision of this Agreement or the application thereof to any Person or circumstance shall, for any reason and to any extent, be invalid or unenforceable, but the extent of such invalidity or unenforceability does not destroy the basis of the bargain among the Members and Managers as expressed herein, the remainder of this Agreement and the application of such provision to other Persons or circumstances shall not be affected thereby, but rather shall be enforced to the greatest extent permitted by law.

Section XI.6. Headings. The headings of the various Sections are intended solely for convenience of reference, and shall not be deemed or construed to explain, modify or place any construction upon the provisions hereof.

Section XI.7. Third Party Beneficiaries. This Agreement shall be for the benefit of the undersigned parties and their permitted successors and assigns only, it being the intention of the parties that no one shall be deemed to be a third-party beneficiary of this Agreement.

Section XI.8. Counterparts. This Agreement may be executed in one or more counterparts, each of which shall be an original, but all of which taken together shall constitute a single document. A photocopy or facsimile transmission of an executed counterpart of this Agreement shall be sufficient to bind the Member(s) whose signature(s) appear thereon.

Section XI.9. Applicable Law; Dispute Resolution.

(a) Mediation; Arbitration. The Members shall attempt to settle any claim or controversy arising out of or relating to this Agreement through consultation and negotiation in good faith and a spirit of mutual cooperation. However, at any time before or during such negotiations, or following any unsuccessful negotiations, any Member may by written notice to the other(s) demand that the dispute be submitted to mediation. When such a demand is made, the parties shall within ten (10) days jointly make arrangements for the mediation of the dispute within the city of Austin, Texas, with a mediator to be jointly agreed upon by and between the parties to the dispute (which mediator shall have at least ten (10) years' experience resolving commercial disputes), or if no such agreement shall be reached, each party shall appoint one mediator with such qualifications, and the mediators selected by the Members in turn shall select a third mediator having such qualifications, who shall be the mediator that shall mediate the dispute between the parties. The mediation shall be conducted pursuant to the rules of Judicial Arbitration and Mediation Services, Inc. ("JAMS") or its successor, whose Mediation Guide in effect on the date of the written demand for mediation shall govern the mediation in all respects, except as modified by agreement of the parties. If the dispute has not been resolved within sixty (60) days after any written demand for mediation, or within a longer time period to which the parties may agree, the dispute shall be submitted to binding arbitration. Such binding arbitration shall be conducted within the city of Austin, Texas in accordance with the then-current JAMS Arbitration Guidelines and Rules by a single arbitrator, or a single arbitrator selected by mutual agreement of the parties, or by the mediator selected in the manner described above if the parties cannot agree, within twenty (20) days after the date of submission of the dispute to binding arbitration, or in the absence of such agreement, such selection to be made by JAMS in accordance with the procedures outlined in JAMS Arbitration Rules. The arbitration shall be governed by the United States Arbitration Act, 9 U.S.C. §§ 1-16 (as may be amended). The decision of the arbitrator shall be in writing setting forth the findings of fact and conclusions of law and the reasons supporting the decision and shall be final and binding and, subject to the provisions of Section 11.9(c), judgment upon the award rendered by the arbitrator may be entered by any court having jurisdiction thereof, except that all Members shall have the right to appeal to the appropriate court any errors of law in the decision rendered by the arbitrator. The arbitrator is empowered to award attorneys' fees but is not empowered to award damages in excess of compensatory damages, and each party hereby irrevocably waives any right to recover such damages with respect to any dispute arising out of or relating to this Agreement, except as such dispute may concern indemnification for a third-party claim, as addressed in Section 6.2.

(b) Judicial Proceedings. Nothing in this Agreement will prevent any Member from resorting to judicial proceedings for the limited purpose of seeking a preliminary injunction or to avoid the barring of the claim under the applicable statute of limitations. In addition, resort by any Member to negotiation, mediation or arbitration pursuant to this Agreement shall not be construed under the doctrines of laches, waiver or estoppel to affect adversely the rights of a Member to pursue any such judicial relief; *provided, however*, that irrespective of the filing of any such request for judicial relief all necessary parties shall continue to participate in the dispute resolution proceedings required by Section 11.9(a). Any negotiation or mediation which takes place pursuant to this Agreement shall be confidential and shall be treated as a compromise and settlement negotiation for purposes of the Federal Rules of Evidence and rules of evidence of the State of Colorado.

(c) CHOICE OF LAW; FORUM. NOTWITHSTANDING THE FOREGOING, BUT SUBJECT TO THE PARTIES' AGREEMENT TO SUBMIT DISPUTES INITIALLY TO MEDIATION AND ARBITRATION, THIS AGREEMENT AND ALL MATTERS RELATED TO THIS AGREEMENT SHALL BE GOVERNED BY AND CONSTRUED IN ACCORDANCE WITH THE LAWS OF THE STATE OF COLORADO, WITHOUT GIVING EFFECT TO ITS CONFLICT OF LAWS PROVISIONS, AND ALL OBLIGATIONS OF ONE MEMBER TO ANOTHER ARE DEEMED TO BE PERFORMABLE IN TRAVIS COUNTY, TEXAS. EXCLUSIVE JURISDICTION AND VENUE FOR DISPUTES BETWEEN THE PARTIES SHALL LIE IN THE COURTS OF TRAVIS COUNTY, TEXAS, AND NEITHER PARTY TO SUCH LITIGATION SHALL ARGUE THAT SUCH FORUM IS NOT CONVENIENT.

(d) Limitation of Liability of Service Provider. Under Section 33.N of the Texas Securities Act, the maximum amount that may be recovered against a person who has been engaged to provide services relating to an offer or sale of securities of a “small business issuer” (as such term is defined in Section 33.N(1)), including an attorney, an accountant, a consultant, or the firm of the attorney, accountant, or consultant in any action or series of actions under Section 33 relating to an offer of securities made by a small business issuer is an amount equal to three times (3X) the fee paid by the issuer or other seller to the person for the services related to the offer of securities, unless the trier of fact finds the person engaged in intentional wrongdoing in providing the services. The parties hereto agree and acknowledge that they have been provided the foregoing disclosure regarding the limitations on a service provider’s liability pursuant to Section 33.N of the Texas Securities Act.

[Remainder of page intentionally left blank.]

IN WITNESS WHEREOF, the Company and the Class B Members have executed this Operating Agreement of Woodland Meadows MHC LLC to be effective as of May 13, 2026. The Class A Members shall execute this Agreement by their execution of the Subscription Agreement to be effective as of the date that the Member's subscription is accepted by the Company. The Members declare that they have read this Agreement in its entirety and have been afforded a reasonable opportunity to obtain the advice of their own independent counsel with respect thereto prior to signing below.

COMPANY:

WOODLAND MEADOWS MHC LLC

By: Woodland Meadows MHC Manager LLC, its Manager

Kimberley Coutree Dandurant, Manager

Holly Arrendondo, Manager

Anthony White, Manager

CLASS A MEMBERS:

**[CLASS A MEMBERS SHALL EXECUTE THIS
OPERATING AGREEMENT BY EXECUTION OF
THE SUBSCRIPTION AGREEMENT]**

CLASS B-1 MEMBER:

WOODLAND MEADOWS MHC MANAGER LLC

Kimberley Coutree Dandurant, Manager

Holly Arrendondo, Manager

Anthony White, Manager

CLASS B-2 MEMBER:

Mr. John Kucewitz

SCHEDULE "A"

Identity of Members and Units Held

<u>Member Name</u>	<u>Units Held</u>	<u>Capital Contribution</u>	<u>Class</u>	<u>Voting/Non-Voting</u>
[Class A Members/Investors]	975,000	\$975,000	Class A	Non-Voting
Woodland Meadows MHC LLC	100,000	*	Class B-1	Voting
Mr. John Kucewitz [or other entity]	20,000	*	Class B-2	Non-Voting
TOTAL	1,095,000	\$975,000		

* The Class B Members have obtained their Class B Units in exchange for their contribution of valuable intellectual property to the Company in the form of business plans and strategies.